

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

NJORO CAMPUS

RESIT/SPECIAL EXAMINATION, 2022/2023 ACADEMIC YEAR

**FIRST YEAR RESIT/SPECIAL EXAMINATION FOR THE DEGREE OF BACHELOR
OF SCIENCE IN ECONOMICS AND STATISTICS AND BACHELOR OF ARTS**

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: BSC. ECON/STAT & BA

TIME: 2 HRS

EXAMINATION SESSION: JUNE

YEAR: 2023

INSTRUCTIONS

- i). Answer Question ONE and ANY OTHER TWO questions.
- ii). Question ONE carries 30 Marks and the rest 20 Marks each.
- iii). Do NOT write on the question paper.
- iv). Apart from calculators, all other devices and written materials are not allowed in the examination room.
- v). All personal items MUST be left outside, or in front of the examination room.

QUESTION ONE**(30 MARKS)**

- a) Explain the following approaches of calculating national income:
- i) Output approach. **(1 Mark)**
 - ii) Income approach. **(1 Mark)**
 - iii) Expenditure approach. **(1 Mark)**
- b) Explain the uses of national income statistics. **(6 Marks)**
- c) Outline any the challenges encountered in the computation of national income. **(6 Marks)**
- d) Explain the determinants of consumption. **(7 Marks)**
- e) i. Define the term investment. **(2 Marks)**
- ii. Outline the factors that influence investment in an economy. **(6 Marks)**

QUESTION TWO**(20 MARKS)**

Given the hypothetical macroeconomic mode of an economy below:

$S = -50 + 0.2Y^d$ (saving function) where Y^d is disposable income

$I = 100$ (investment expenditure)

$G = 100$ (Government expenditure)

$X = 30$ (Export expenditure)

$T = 60 + 0.2Y$ (Tax Revenue function)

$M = 20 + 0.5Y$ (Import function)

- a) Interpret the savings function. **(3 Marks)**
- b) Derive the consumption function. **(2 Marks)**
- c) Using a graph, show the relationship between consumption and savings functions.

(3 Marks)

- d) Compute equilibrium levels of savings, income, consumption and tax. (5 Marks)
- e) Calculate and interpret the government expenditure multiplier. (4 Marks)
- f) Explain four determinants of savings in Kenya. (4 Marks)

QUESTION THREE**(20 MARKS)**

- a) Describe briefly what IS and LM curves are. Illustrate. (3 Marks)
- b) Using diagrams explain how the IS and LM curves are derived. (8 Marks)
- c) What are the main challenges Kenya faces in trying to solve the following macroeconomic instabilities:
 - i). Inflation. (3 Marks)
 - ii). Unemployment. (3 Marks)
 - iii). Balance of payment deficit. (3 Marks)

QUESTION FOUR**(20 MARKS)**

- a) Explain the following:
 - (i) Ways of measuring inflation. (5 Marks)
 - (ii) Causes of inflation. (5 Marks)
 - (iii) Effects of inflation. (5 Marks)
 - (iv) Ways of controlling inflation. (5 Marks)

QUESTION FIVE**(20 MARKS)**

- a)
 - i. Define the term monetary policy. (2 Marks)
 - ii. State and explain five objectives of monetary policy. (5 Marks)
 - iii. Describe five tools of monetary policy. (5 Marks)
- b) Discuss the main causes of unemployment in Kenya. (8 Marks)
